Building Materials & Products Market Health Report

2025 YTD

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Building Materials & Products Market Health Report

(2025 YTD)

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Introduction

Building materials and products form the backbone of the construction industry, encompassing core inputs such as cement, lumber, and steel alongside finished components like windows, doors, and roofing.

While global trends influence the sector, this report focuses on the U.S. market, drawing on select international benchmarks and risk indicators to provide context.

Applied Value's analysis combines macroeconomic data with company-level insights to assess the health of key construction segments. Because demand for building materials directly mirrors construction cycles, the report uses U.S. construction activity as the primary lens for evaluating market conditions and outlook.

Throughout, we provide practical guidance for managing volatility and positioning for growth through Applied Value's Lean Growth framework, helping clients mitigate input cost inflation, close labor gaps, and enhance operational efficiency.

Executive Summary

Performance & Outlook for the US Market

Year-to-date 2025 data underscore a fragmented construction landscape shaped by tightening financial conditions and shifting demand fundamentals. Single-family housing permits declined 4–5% year over year, and multifamily starts moderated sharply, both constrained by high mortgage rates and record affordability challenges. Absorption stayed sluggish, and consumer confidence hovered near cyclical lows. While multifamily completions were strong, forward momentum has weakened.

In contrast, nonresidential segments, particularly infrastructure, institutional, and industrial, maintained strength, supported by robust federal programs (Infrastructure Investment and Jobs Act (IIJA), Creating Helpful Incentives to Produce Semiconductors (CHIPS) for America Act, Inflation Reduction Act (IRA)). Public backlogs reached historic highs, while private pipelines softened amid a sixteen-month contraction in architectural billings.

Input costs stabilized but remain exposed to tariff and geopolitical volatility. Persistent skilled labor shortages and rising wage pressures extended project timelines and increased delivery costs. Credit conditions tightened sharply, with higher equity thresholds and restricted lending, especially for smaller or speculative developers. These forces continue to define both overall activity and supplier performance.

For upstream and midstream suppliers, the outlook is mixed. Heavy construction inputs, aggregates, cement, asphalt, and structural steel, benefit from long-cycle public and industrial projects, while residential-oriented materials (framing lumber, gypsum, windows) remain weak. Repair and remodel (R&R) activity offers partial support. Firms with diverse exposure, operational agility, and resilient market targeting are outperforming peers.

Public company results reflected this divide. Infrastructure-aligned operators achieved 5–7% revenue growth and up to 290 bps of margin expansion, while residential-heavy firms maintained profitability through cost discipline, portfolio refocusing, and greater R&R emphasis. Across the sector, capital discipline remains paramount, with many firms prioritizing share repurchases and dividend stability over major new expansions.

Looking ahead, the sector's trajectory through 2026 will hinge on monetary easing, the durability of public funding, and the ability to manage structural labor constraints. Tariff and global supply risks remain key watchpoints. Gradual improvement in residential indicators is expected as rates decline, while nonresidential momentum will rely on public and infrastructure investment to offset private-sector softening.

Key Risks to Monitor

- Residential recovery remains fragile without a meaningful decline in interest and mortgage rates or relief from affordability constraints.
- Persistent skilled labor shortages and wage pressures risk prolonging project delays, straining capacity, and locking elevated costs into pipelines even as activity stabilizes.
- Tight lending standards and higher equity requirements—especially for small or speculative borrowers—may constrain starts, delay backlog turnover, and limit private-sector recovery even if rates fall.
- Renewed input cost volatility from tariffs, geopolitical tension, or supply disruption could quickly erode recent price stability, challenging manufacturers and contractors to manage risk and margins effectively.

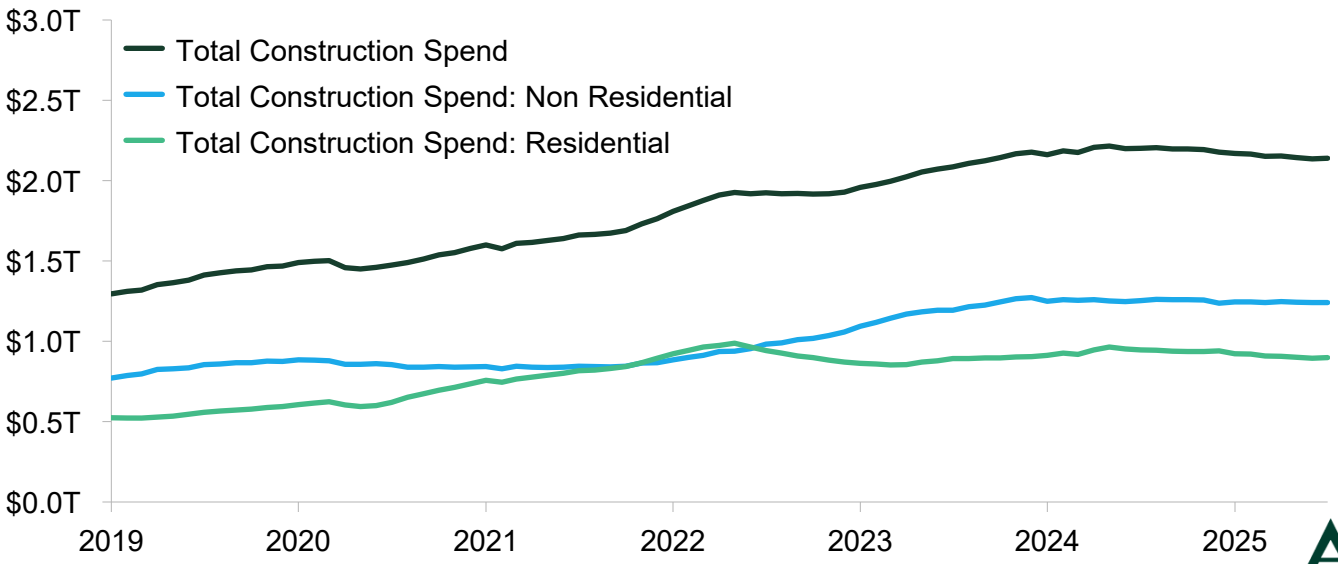
Success Factors and Strategic Priorities

Outperformers will combine cost discipline, pricing strength, and operational agility with investment in supply chain resilience, workforce development, digital transformation, and sustainable product innovation, positioning themselves to navigate volatility while capturing long-term growth.

Market Scope

The global construction market is projected to reach $12.1–$16.5 trillion in 2025, led by Asia-Pacific expansion. The U.S., the world's second-largest market, is expected to reach $2.10–$2.24 trillion, supported by infrastructure investment, public spending, and supply-chain normalization. Following a 7.3% CAGR (2020–2024), U.S. construction growth is moderating to 2.6–4.9% annually through 2030. Infrastructure and nonresidential segments remain resilient, while the residential sector continues to face affordability and financing headwinds, underscoring the need for focused U.S. market analysis.

Figure 1: Total Construction Spend in the United States ($T)



Market Context & Outlook

2025 YTD Summary

Construction activity in early 2025 was shaped by macro headwinds and widening sector divergence. High mortgage rates and affordability pressures continued to constrain single-family starts, while multifamily completions remained elevated but new starts slowed sharply, signaling weakness into 2026. Nonresidential momentum held firm, supported by industrial, institutional, and infrastructure spending, though late-year data indicate emerging softness in private development as architectural billings trended downward.

Material costs stabilized early in the year before renewed volatility emerged from tariff hikes, particularly on steel, aluminum, and Canadian lumber, and ongoing geopolitical disruptions. Labor shortages persisted, embedding wage inflation and extending project timelines. Credit conditions remained restrictive despite early monetary easing, with lenders maintaining elevated equity thresholds and a cautious stance toward speculative projects.

EOY 2025 + 2026 Prospectus

Residential recovery remains dependent on the pace of monetary easing. Although rates are declining, affordability remains strained, and single-family demand is unlikely to rebound meaningfully until borrowing costs and real incomes improve. This lag continues to mute building materials and product sales. Consensus expectations point to gradual recovery through late 2025, strengthening into 2026 as quantitative easing takes hold.

Nonresidential construction should remain resilient, particularly segments backed by multi-year federal programs (IIJA, CHIPS, IRA), though the sustained downturn in architectural billings signals moderate softening in private projects. Credit constraints, tariff-linked cost pressures, and labor scarcity remain the primary risks. Offsetting these, long-duration infrastructure commitments and institutional pipelines provide a stable foundation for growth.

Drivers of Market Health

A range of macroeconomic and industry-specific forces are shaping the near- and medium-term construction outlook. The table below ranks the most influential drivers by impact, indicating recent trend direction (Positive / Neutral / Negative) and whether each serves as a Leading or Lagging indicator.

DRIVER	SUMMARY	INDICATOR TYPE	RECENT TREND
INTEREST AND MORTGAGE RATES	Impact financing conditions for residential, commercial, and industrial projects.	»	Negative
LABOR DYNAMICS	Tight labor market and rising wages constrain project delivery and pressure margins.	«	Negative
MATERIAL AND ENERGY COSTS	Eased from pandemic peaks but still key to project profitability.	»	Neutral
DEMAND VISIBILITY	Building permits and construction backlogs signal future project pipelines.	»	Neutral
GOVERNMENT INFRASTRUCTURE SPENDING	Public investment continues to underpin non-residential demand; impact of new administration still being evaluated.	»	Positive
CREDIT AVAILABILITY AND LENDING STANDARDS	Bank lending conditions influence project financing, especially for commercial developments.	»	Negative
GDP GROWTH AND CONSUMER CONFIDENCE	Broader macroeconomic conditions and sentiment drive overall construction demand.	«	Negative

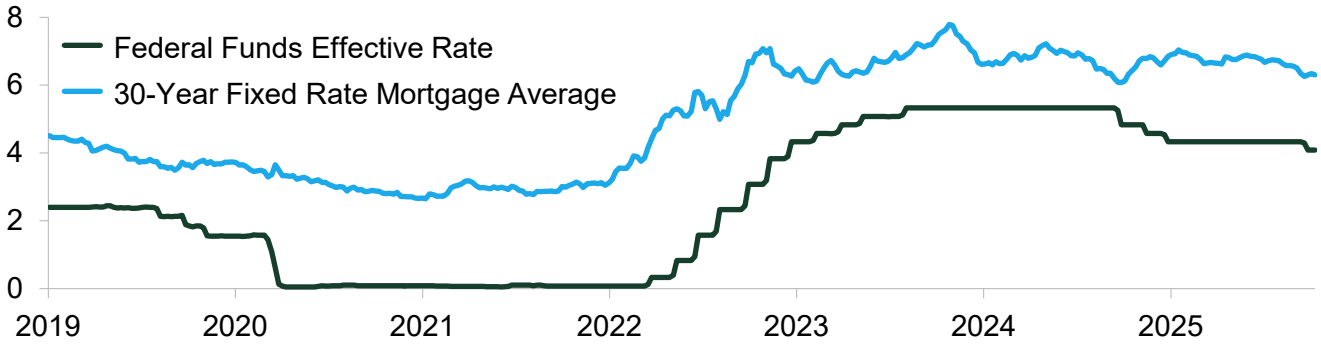
Key: **Leading** **Lagging**

Recent Trends & Outlook:

Interest and Mortgage Rates:

The Federal Reserve shifted from tightening to modest easing in 2025, cutting rates twice and lowering the federal funds target to 3.75–4.00% by November. The 30-year fixed mortgage rate averaged 6.7–6.9% for most of the year before easing to 6.2–6.35%. Despite this, borrowing costs remain high, restraining single-family demand and commercial financing. The Fed's dovish tone suggests further gradual cuts ahead, though stimulative effects will materialize slowly and unevenly.

Figure 2: Federal Funds Effective Rate and 30-Year Fixed Rate Mortgage Average, %



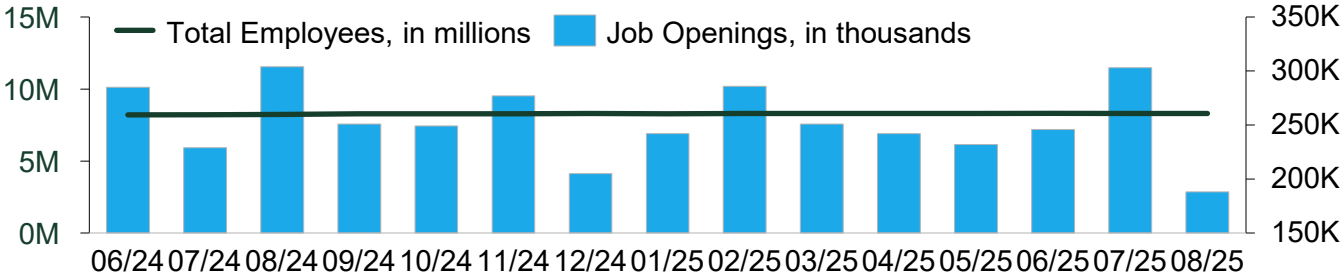
Impact on Construction: Persistent borrowing costs are keeping residential starts near cyclical lows and delaying privately financed projects, with limited improvement expected before deeper rate cuts or real-income gains.

Implication for Materials & Products: Weak single-family volumes continue to suppress demand for framing lumber, roofing, and windows; slower commercial starts dampen steel, concrete, and finishing materials.

Labor Dynamics:

The industry continues to face acute skilled-labor shortages. Job openings peaked above 300,000 before easing to 188,000–300,000 by late 2025. Total employment reached a record 8.3 million, yet capacity gaps persist. Wage growth remains 18–24% above private-sector averages, with median hourly earnings at $36–$39. 77–92% of contractors report hiring shortfalls, nearly half citing labor scarcity as the primary cause of delays. While openings are stabilizing, structural deficits and wage inflation remain entrenched.

Figure 3: US Construction Labor Dynamics



Impact on Construction: Labor shortages extend project timelines and constrain backlog conversion despite easing demand.

Implication for Materials & Products: Slower build-through rates elongate demand cycles and may defer or downsize labor-intensive projects.

Material and Energy Costs:

After post-pandemic corrections, material and energy costs stabilized through late 2024 and 2025, with the construction materials PPI up only 1.3% YoY. Lumber prices fluctuated between $430–$690 per MBF, settling near $500 as weak demand offset a 35% Canadian tariff. Copper and steel prices plateaued but now face renewed pressure from tariffs raising import duties to 20–25%. Fuel costs stayed steady but remain sensitive to global supply shocks. Expanding tariffs on metals, lumber, and appliances could add $7,500–$10,000 to new home costs, reintroducing volatility.

Figure 4: Building Materials Producer Price Indices

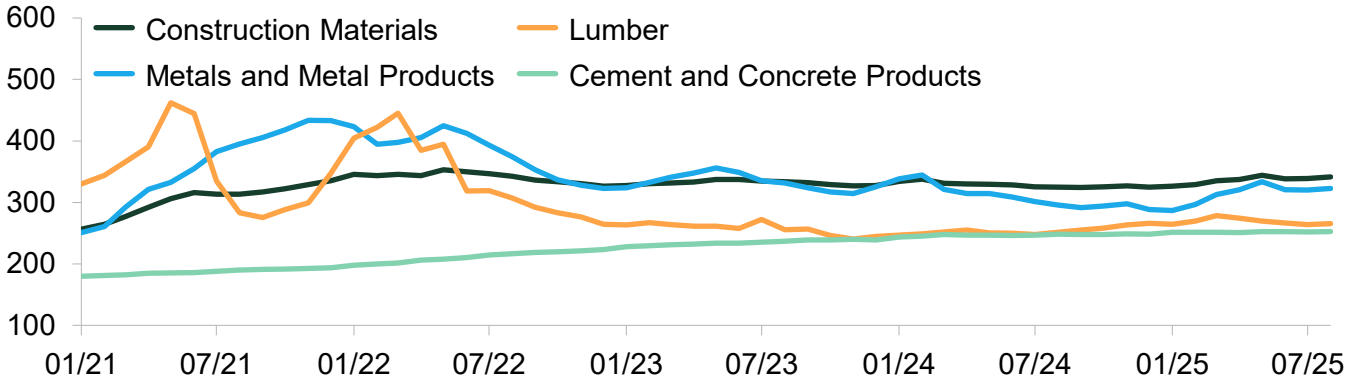
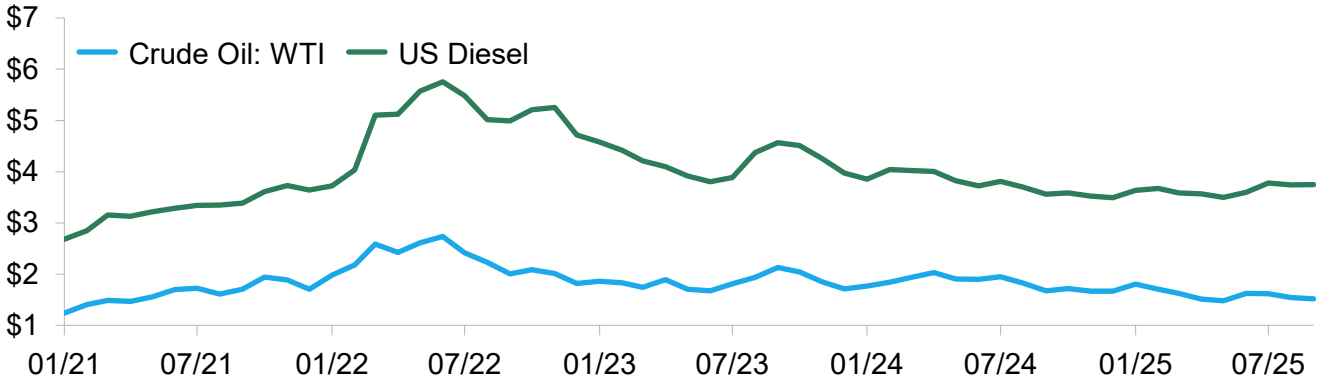


Figure 5: Petroleum Product Prices (Dollars per Gallon)



Impact on Construction: Stable prices support near-term cost control, but tariff escalation could renew margin pressure in 2026.

Implication for Materials & Products: Predictable input costs aid planning, though sudden price spikes may alter order timing or accelerate substitution toward domestic alternatives.

1. MBF is Thousand Board Feet

Demand Visibility:

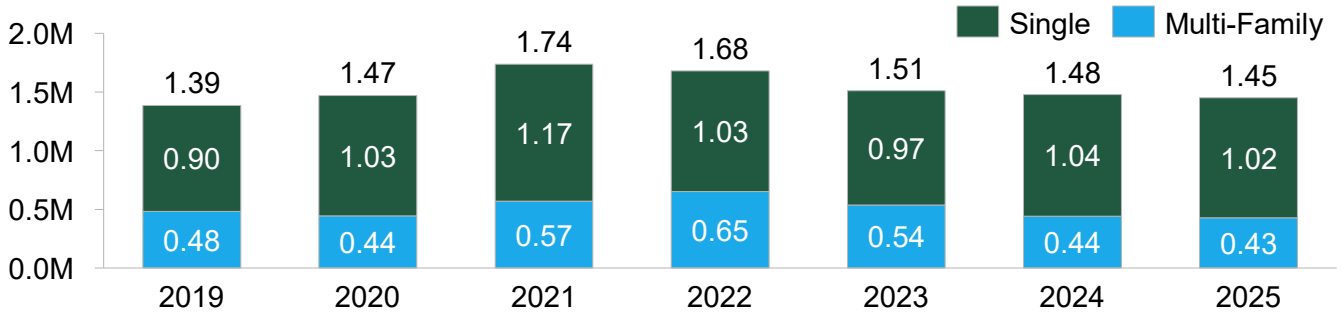
Residential:

Residential demand softened through 2025, with permits down 2–4% YoY by late Q3. Homebuilders leaned on mortgage buydowns and discounts to sustain sales, but absorption remained slow. Starts and completions trended lower amid record-high price-to-income ratios and weak confidence. Near-term recovery depends on meaningful rate cuts and income growth, both unlikely to prompt an immediate rebound.

Impact on Construction: Persistent softness in permits and absorption indicates a muted single-family pipeline into 2026.

Implication for Materials & Products: Ongoing weakness restrains framing and finishing materials demand, though R&R activity provides partial offset.

Figure 6: New Privately Owned Housing Units Authorized by Building Permits ($M)



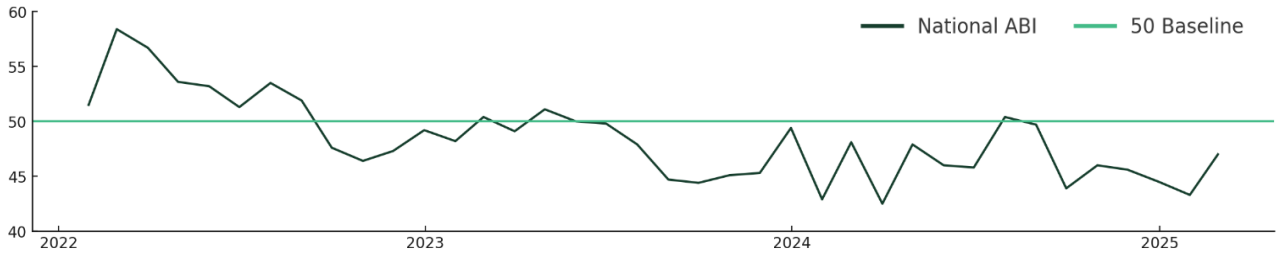
Nonresidential & Infrastructure:

Nonresidential pipelines remain solid, with 6–8-month backlogs supported by infrastructure and institutional work. However, the Architecture Billings Index has contracted for 16 consecutive months, particularly in commercial and multifamily sectors, signaling fewer new projects. Federal and industrial activity under IIJA, CHIPS, and IRA continues to anchor demand, though slowing design activity clouds mid-term visibility.

Impact on Construction: Institutional and infrastructure work sustain backlogs, but private-sector softness may curb new starts beyond 2025.

Implication for Materials & Products: Heavy materials demand remains stable; interior and finishing products will likely stay muted until private project flow improves.

Figure 7: National Architecture Billings Index (2022-2025 | 50=Baseline)



Government Infrastructure Spending:

Since mid-2024, over $430 billion in federal funding has been deployed under IIJA, CHIPS, and IRA, concentrated in transportation, water systems, broadband, and manufacturing infrastructure. These programs leverage over $1 trillion in total public–private commitments, providing multiyear visibility. In 2025, semiconductor construction incentives expanded, with 35% fabrication tax credits attracting major investments from U.S. and global chipmakers. Conversely, some clean-energy projects were delayed amid shutdowns, permitting issues, and policy shifts, deferring roughly $14–18 billion in hydrogen and renewable investments.

Figure 8: US Non-Residential Construction Spend (2019-2025 | $B)

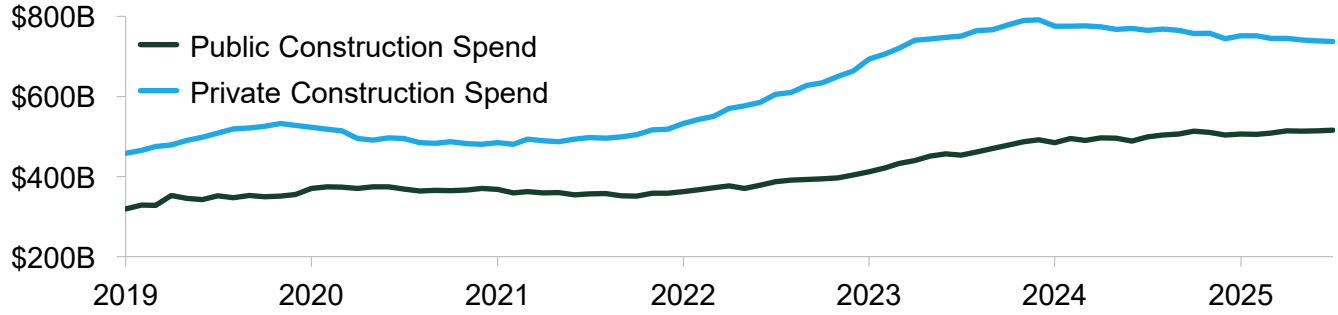
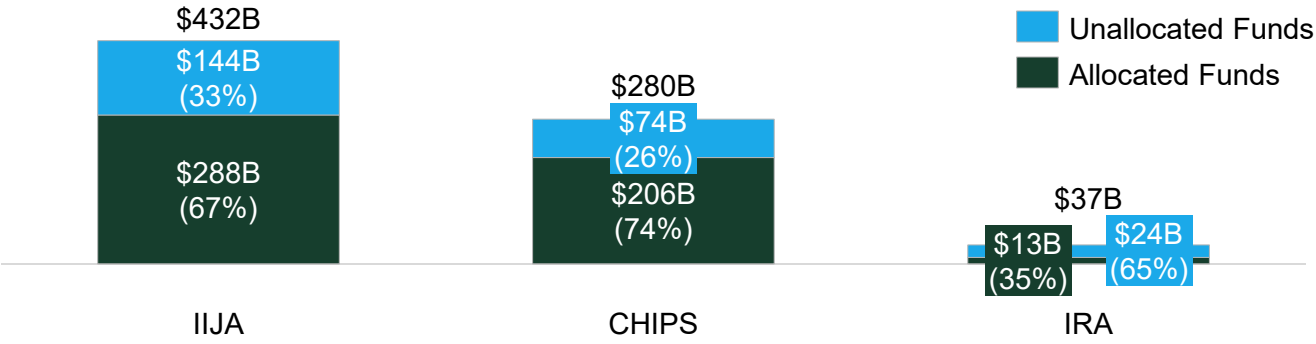


Figure 9: US IIJA, IRA & CHIPS Act Budgets (July 2025, $B)



Impact on Construction: Multi-year funding streams underpin activity in transportation, utilities, and manufacturing, creating a stable floor even as select green-energy projects face headwinds.

Implication for Materials & Products: Federal investment establishes durable demand for aggregates, concrete, asphalt, and steel, though localized volatility will persist in energy segments exposed to policy risk.

Credit Availability and Lending Standards:

Credit conditions have tightened steadily since late 2024. Banks reduced LTV/LTC ratios, increased equity requirements to ~25–30%, and strengthened underwriting, pressuring smaller developers. Regional lenders, historically critical to smaller sponsors, have pulled back most sharply. Larger, well-capitalized borrowers still access private credit, though at higher costs and with tighter terms.

Impact on Construction: Restrictive lending continues to limit new starts for smaller and speculative developers, concentrating activity among large sponsors.

Implication for Materials & Products: Reduced lending weakens order flow in office, retail, and speculative housing, while well-capitalized contractors consolidate procurement with fewer vendors.

GDP Growth and Consumer Confidence:

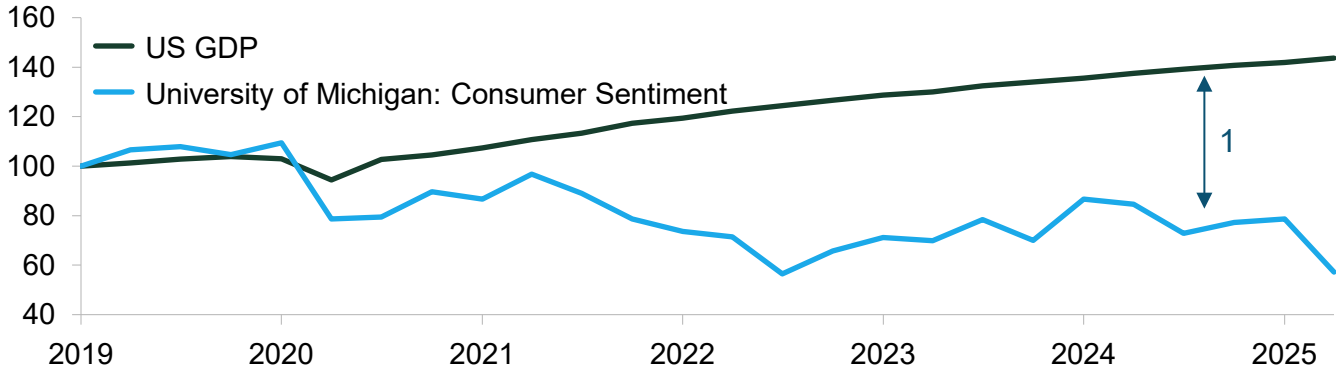
Q1 2025 marked the first GDP contraction in three years (–0.5%), followed by a rebound, Q2 grew 3.3–3.8%, and Q3 is tracking 2–4%. Despite this, consumer sentiment fell to a three-year low (U-Mich Index: 50.3) amid concerns over the government shutdown, inflation expectations, and labor uncertainty.

Housing affordability remains near forty-year lows, with mortgage payments consuming over 36% of median income versus 28% pre-pandemic.

Impact on Construction: The gap between GDP recovery and weak sentiment constrains discretionary residential and commercial projects, especially non-essential upgrades.

Implication for Materials & Products: Muted homeowner and small-business spending limits uplift from R&R and fit-out demand, weighing on mid- to high-end finishes.

Figure 10: Index of US GDP and U-M Consumer Sentiment Survey (2019-2025)



Conclusion: Implications from Sector Drivers

The U.S. construction industry faces a challenging but manageable outlook. Residential activity will stay subdued amid high rates and affordability constraints, while nonresidential demand is anchored by infrastructure backlogs and industrial investment. Persistent labor shortages and tight credit will constrain delivery and financing. Performance over coming quarters will hinge on policy stimulus, monetary shifts, and industry adaptability in navigating cyclical pressures.

1. Why GDP Strength is not Reflected in Sentiment

Since the COVID era, U.S. GDP has recovered robustly. Despite this consumer confidence remains historically depressed. This divergence reflects a persistent disconnect driven by lingering inflation effects, declining trust in economic mobility, and increasingly pessimistic survey biases. Research also shows that sentiment measures now respond less directly to indicators like unemployment or wage growth. For building materials and construction sectors, particularly discretionary home spending, this means caution persists not because of macro weakness, but due to psychological and perceptual dynamics that may ultimately temper demand even amid positive fundamentals.

Public Company Performance Snapshot (2025 YTD)

Year-to-date results reveal divergent performance among leading North American building materials firms, driven by portfolio mix, pricing discipline, and operational execution. Aggregates and cement producers (CRH, Martin Marietta, Vulcan Materials) achieved 5–7% revenue growth and 100–290 bps margin expansion. Vulcan's EBITDA margin improved 290 bps, and Martin Marietta's cash profit per ton rose 12%, reflecting pricing strength and operational efficiency amid infrastructure demand.

Residential-exposed manufacturers (Owens Corning, JELD-WEN, Builders FirstSource) saw moderate to steep declines, with BLDR's organic net sales down 10.6% in Q3. Nonetheless, strong cost control and R&R demand supported margins, Owens Corning maintained 24% EBITDA, and BLDR's R&R/Other segment fell just 1.2%. Premium-category pricing also buffered profitability.

Diversified producers (Holcim, Eagle Materials) benefited from broad end-market exposure, leveraging infrastructure, R&R, and commercial renovation demand. Both advanced portfolio optimization through non-core divestitures and targeted bolt-on acquisitions.

Performance Themes (YTD 2025)

- **Infrastructure-Linked Outperformance:** Heavy-materials portfolios tied to public projects outperformed in both revenue and margins.
- **Margin Resilience via Pricing and Cost Control:** Pricing discipline and lean SG&A management protected profitability.
- **R&R as a Defensive Segment:** Stable homeowner demand offset new-build softness.
- **Strategic Portfolio Management:** Firms pursued strategic M&A (+24% YoY deal size) and divested non-core assets to focus on infrastructure adjacencies.
- **Capital Allocation Discipline:** Strong balance sheets and selective investment sustained dividends and buybacks, reinforcing resilience amid credit constraints.

Positioning for EOY 2025 & Beyond

The divergence in 2025 performance sets the tone for year-end and early 2026. Firms aligned with public infrastructure and long-cycle industrial projects, including data centers, semiconductors, and utilities, are positioned for continued stability underpinned by federal funding and institutional demand. Residential-focused operators must rely on steady R&R activity, efficiency gains, and disciplined pricing to counter ongoing weakness.

The Architecture Billings Index, contracting for over a year, signals potential backlog moderation by early 2026, even for infrastructure-heavy portfolios, particularly in commercial and mixed-use segments. Success will depend on agile capital deployment, regional targeting, and workforce strategy. Firms combining portfolio diversity, regional agility, and cost discipline will be best positioned to outperform.

Trend Continuity & Retrospective Analysis

Variances from Expectation

Market performance through H1 2025 generally matched forecasts, though several deviations reshaped the near-term outlook. Residential permitting fell 2.3–3.7% YoY (single-family – 4.7%), steeper than expected due to affordability strain. Nonresidential output outpaced expectations in Q2, but ABI contraction (16–19 months) to 43.3 in September signaled deeper private-sector cooling. Input costs were more stable than forecast, while labor inflation exceeded expectations, confirming structural tightness. Credit conditions tightened faster than guidance, particularly for small developers, and multifamily starts weakened faster as completions peaked.

Looking Ahead

Key variables into 2026 include the pace of Fed rate cuts, tariff impacts on costs, and the durability of infrastructure backlogs in transportation, water, and manufacturing. Other watchpoints include a potential reversal in ABI declines, the resilience of R&R demand, and signs of moderating wage inflation, factors that will define the industry baseline for subsequent reports.

How Applied Value Can Help

Applied Value delivers measurable results for building materials and construction companies through its Lean Growth framework, centered on Focus, Simplicity, and Speed to drive improvement in cost, capital, and operations.

- **Optimize Sourcing & Supply Chains:** Reduce costs through supplier negotiations, risk mitigation, and inventory efficiency while enhancing resilience to material volatility.
- **Enhance Operational Efficiency:** Apply Lean Growth tools to streamline processes, reduce complexity, and accelerate execution.
- **Improve Pricing & Commercial Strategy:** Strengthen pricing discipline and segmentation to protect margins amid cost pressures.
- **Support Strategic M&A & Portfolio Optimization:** Identify value-accretive adjacencies and execute integrations, particularly in infrastructure, R&R, and energy-efficient segments.
- **Accelerate Digitalization & Productivity:** Enable data-driven decision-making, automation, and real-time visibility to improve responsiveness.

We partner closely with leadership teams to deliver tangible results and long-term resilience, equipping clients to navigate uncertainty and outperform in dynamic markets.

Interested in learning more?

Contact one of our global offices to start a conversation with the Applied Value team.

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Public Company Performance Snapshot (H1 2025)

The following table summarizes year-to-date 2025 performance and strategic positioning for leading public building materials and products companies, segmented by nonresidential-forward, distribution, and residential-forward exposure.

Aggregates and cement producers such as CRH, Martin Marietta, and Vulcan Materials captured revenue and margin gains of 5–7% and 100–290 bps, respectively, driven by infrastructure and industrial spending. These firms leveraged pricing power, operational efficiency, and targeted M&A to capitalize on strong public-project pipelines and disciplined cost management.

Distribution leaders, including Builders FirstSource and Beacon Roofing, protected earnings through cost discipline, selective acquisitions, and an emphasis on the repair and remodel (R&R) channel, which continued to provide steady volume despite housing market weakness. Builders FirstSource, for example, held R&R and other segment sales nearly flat (-1.2%), even as core organic net sales declined 10.6% year over year.

Residential-focused manufacturers—notably Owens Corning, JELD-WEN, and Masco—offset new-construction declines with aggressive cost control and repositioning toward R&R and specialty product lines. Owens Corning maintained 24% EBITDA margins, underscoring the benefit of early portfolio and pricing adjustments.

Vertically integrated and diversified firms such as Holcim and Eagle Materials continued to outperform through broad end-market exposure, combining infrastructure strength with steady commercial renovation and repair activity. Strategic divestitures and bolt-on acquisitions further refined their portfolios and regional balance.

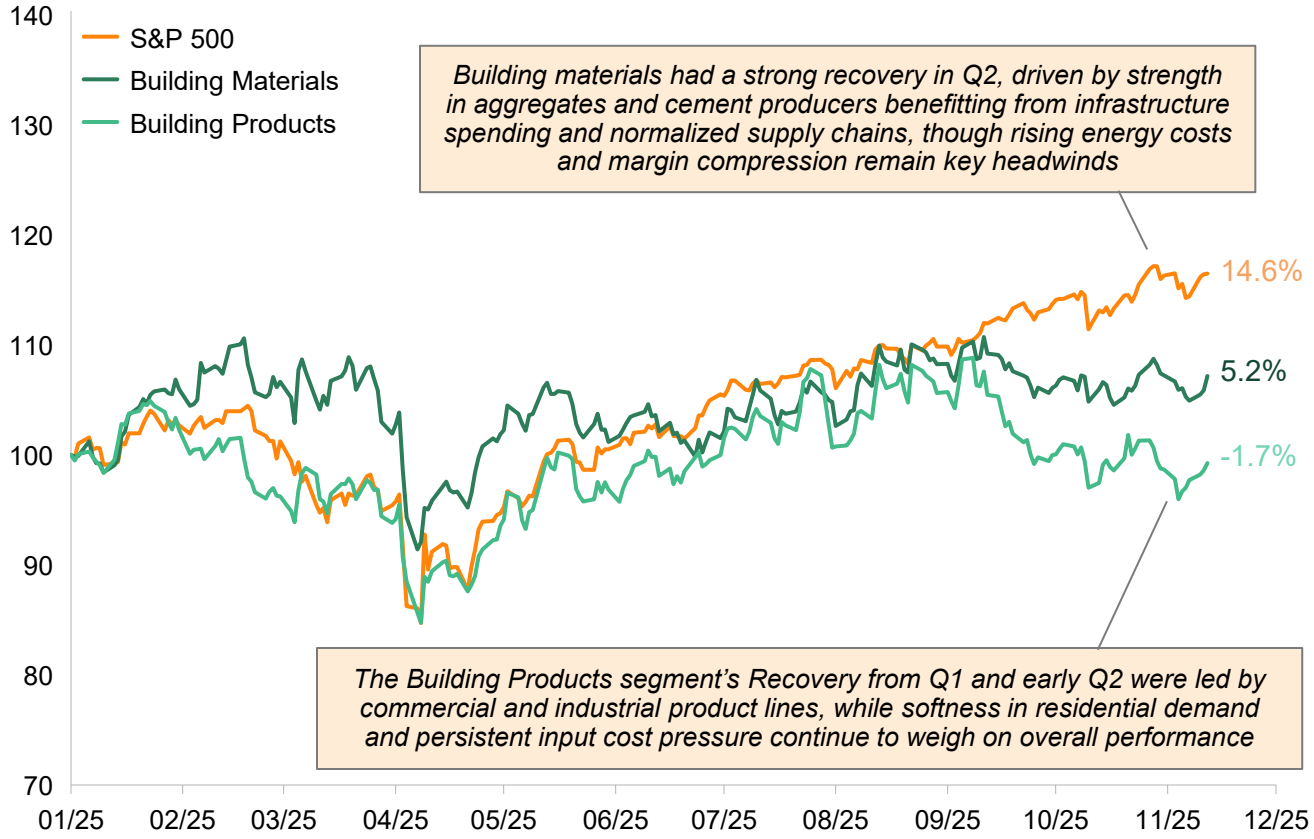
Across the sector, operational agility, portfolio diversity, and exposure to infrastructure and resilient end markets remained defining advantages. Companies demonstrating pricing discipline, cost control, and capital allocation precision consistently outperformed peers in a highly segmented and competitive environment.

Segment	Company (Ticker)	Headline Performance/Strategy (H1 2025)
Aggregates & Cement	CRH (CRH)	Robust growth driven by infrastructure and public project exposure; expanded U.S. footprint via strategic M&A; margin up over 100 bps YTD.
	Martin Marietta (MLM)	Revenue up 8% YOY, with public works backlog and aggregates/ready-mix pricing fueling strong margin and profit-per-ton gains.
	Vulcan Materials (VMC)	EBITDA margin expanded by 290 bps YTD; cost discipline and pass-through pricing delivered 12% higher profit per ton.
	Eagle Materials (EXP)	Outperformed on infrastructure and nonresidential demand; diversified product mix steadied revenue.
Fiberglass & Composites	Owens Corning (OC)	Residential volumes declined, but strong cost controls and steady R&R/insulation stabilized adjusted EBITDA margin at 24%.
Wood Products	Weyerhaeuser (WY)	Modest lumber pricing recovery; diversified forest assets supported results despite residential softness.
	UFP Industries (UFPI)	Growth in specialty and industrial wood segments offset sluggish homebuilding; resilient margin performance.
	West Fraser (WFG)	Demand for lumber remained muted, but improved inventory discipline and operational efficiencies protected earnings.
	Simpson Manufacturing (SSD)	Energy-efficient structural components and strong execution in repair/retrofit channels buoyed performance.
Distribution	Builders FirstSource (BLDR)	Core organic sales down 10.6%; R&R/other segment stable (-1.2%); margin buoyed by targeted M&A and SG&A efficiencies.
Roofing Distribution	Beacon Roofing (BECN)	Stable commercial and R&R volumes; supply chain and cost controls supported margin integrity.
Roofing & Insulation	Carlisle Companies (CSL)	Commercial roofing and insulation demand steady; specialty price increases offset softer segments.
Insulation & Panels	Kingspan (KRX)	Growth in North America and robust demand for high-performance building envelopes and insulation.
Doors & Windows	JELD-WEN (JELD)	Residential and commercial volumes declined; cost actions restored profitability; North America revenue down 19%.
	Masonite (DOOR)	Continued single-family/R&R recovery; ongoing operational focus maintained profitability amid macro headwinds.
Water Management	Advanced Drainage (WMS)	Stormwater and public works demand strong; volume gains in municipal and nonresidential projects.
Kitchen & Bath	Masco (MAS)	R&R-driven demand in branded kitchen/bath; cost and SG&A programs offset softer newbuild volumes.
	Fortune Brands (FBIN)	Outperformed via product innovation, supply chain resilience, and investment in branded growth channels.
Infrastructure/MEP	Emcor Group (EME)	Public backlog robust, driven by infrastructure/mechanical work; innovation and spend discipline sustained results.
Retail/R&R Channel	Home Depot (HD)	R&R and maintenance spending outperformed discretionary improvement; sales gains led by professional and maintenance customers.

Key: Nonresidential Forward | Distribution | Residential Forward

The factors listed above have split returns for building materials and products firms, with non-residential-aligned players outperforming residential-focused peers.

Share price performance, YTD returns by segment



This report analyzes the financial performance of 35 building materials and products companies operating in the US, and covers 500 BUSD in revenue

Building Materials Companies

Segment	Company	Revenue (LTM BUSD)	Country
Cement, aggregates and ready-mix concrete	CRH	$36.3	Ireland
	CEMEX	$15.7	Mexico
	Heidelberg Materials	$25.4	Germany
	Holcim	$33.0	Switzerland
	Martin Marietta	$6.7	USA
	Taiheiyo Cement	$6.2	Japan
	Vulcan	$7.6	USA
Glass	AGC	$14.2	Japan
	Owens Corning	$11.7	USA
	Saint Gobain	$55.1	France
Lumber and wood	Canfor	$3.9	Canada
	Interfor	$2.2	Canada
	UFP	$6.5	USA
	West Fraser	$5.8	Canada
	Weyerhaueser	$7.0	USA
Steel	Arcelor Mittal	$60.6	Luxembourg
	Nucor	$30.8	USA
	Steel Dynamics	$17.1	USA
Bricks and masonry	Wienerberger	$5.5	Austria

130.9 BUSD 81.0 BUSD 25.5 BUSD 108.6 BUSD 5.5 BUSD

The report covers 351 BUSD of building materials revenue

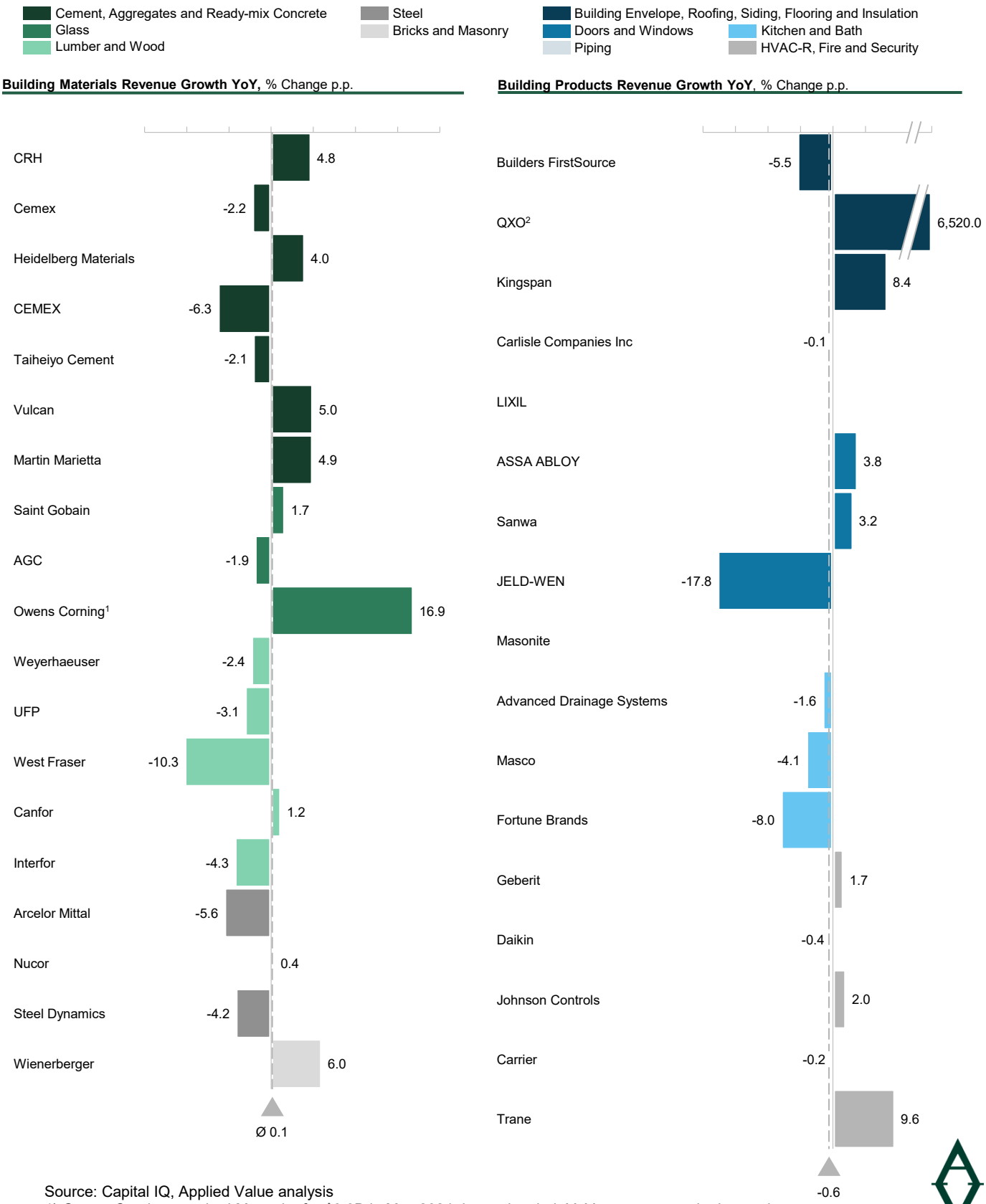
Building products companies

Segment	Company	Revenue (LTM BUSD)	Country
Building envelope, roofing, siding flooring and insulation	Builders FirstSource	$15.9	USA
	Carlisle Companies	$5.0	USA
	Kingspan	$10.5	Ireland
	Qxo	$1.9	USA
Doors and windows	ASSA ABLOY	$16.1	Sweden
	JELD-WEN	$3.4	USA
	LIXIL	$10.4	Japan
	Sanwa	$4.6	Japan
Piping	Advanced Drainage Systems	$2.9	USA
Kitchen and bath	Geberit	$3.9	Switzerland
	Fortune Brands	$4.5	USA
	Masco	$7.7	USA
HVAC-R, fire and security	Carrier	$22.5	USA
	Daikin	$32.7	Japan
	Johnson Controls	$23.4	Ireland
	Trane	$20.8	Ireland

33.3 BUSD 34.5 BUSD 2.9 BUSD 16.1 BUSD 99.3 BUSD

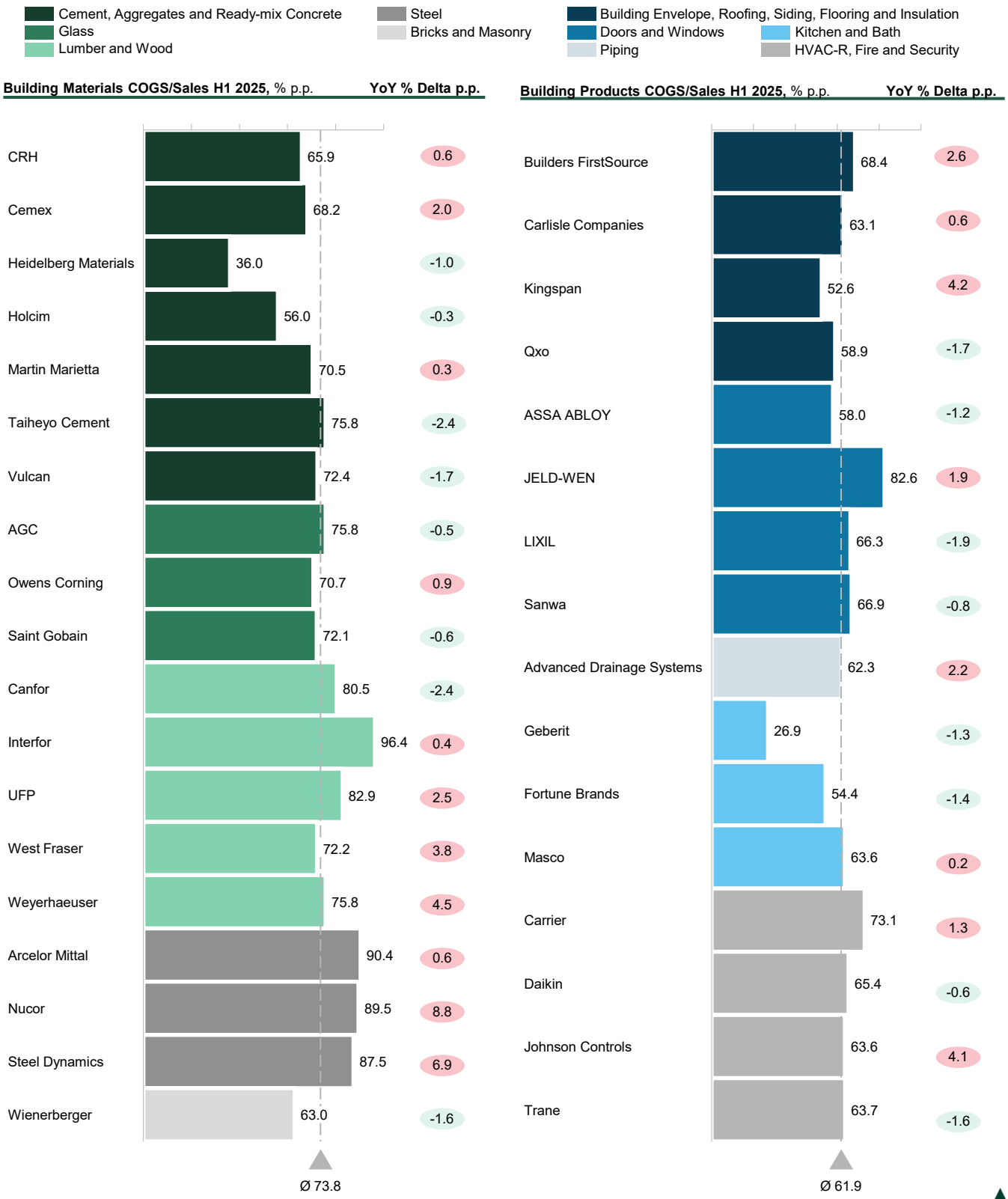
The report covers 186 BUSD of building products revenue

Most Categories Return to Normal in H1'25; Cement & HVAC-R Remain Exceptions



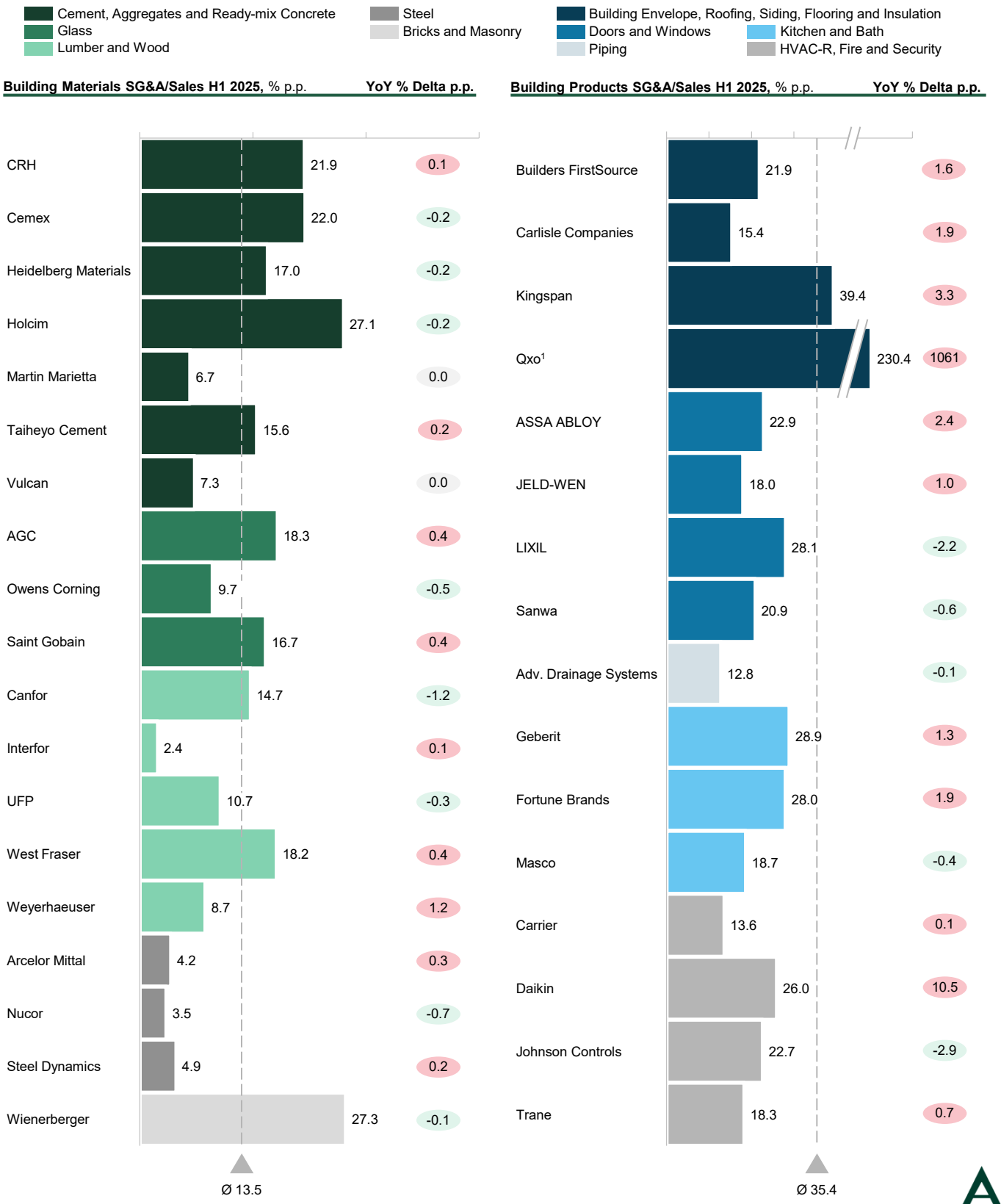
Source: Capital IQ, Applied Value analysis
1) Owens Corning acquired Masonite for $3.9B in May 2024, impacting their YoY revenue growth shown above
2) QXO acquired Beacon Roofing Supply for ~$11B in April 2025, impacting their YoY revenue growth shown above

Apart from the steel and lumber sub-sectors, most companies saw an improvement in COGS/sales due to easing inflation & cost pressures YoY



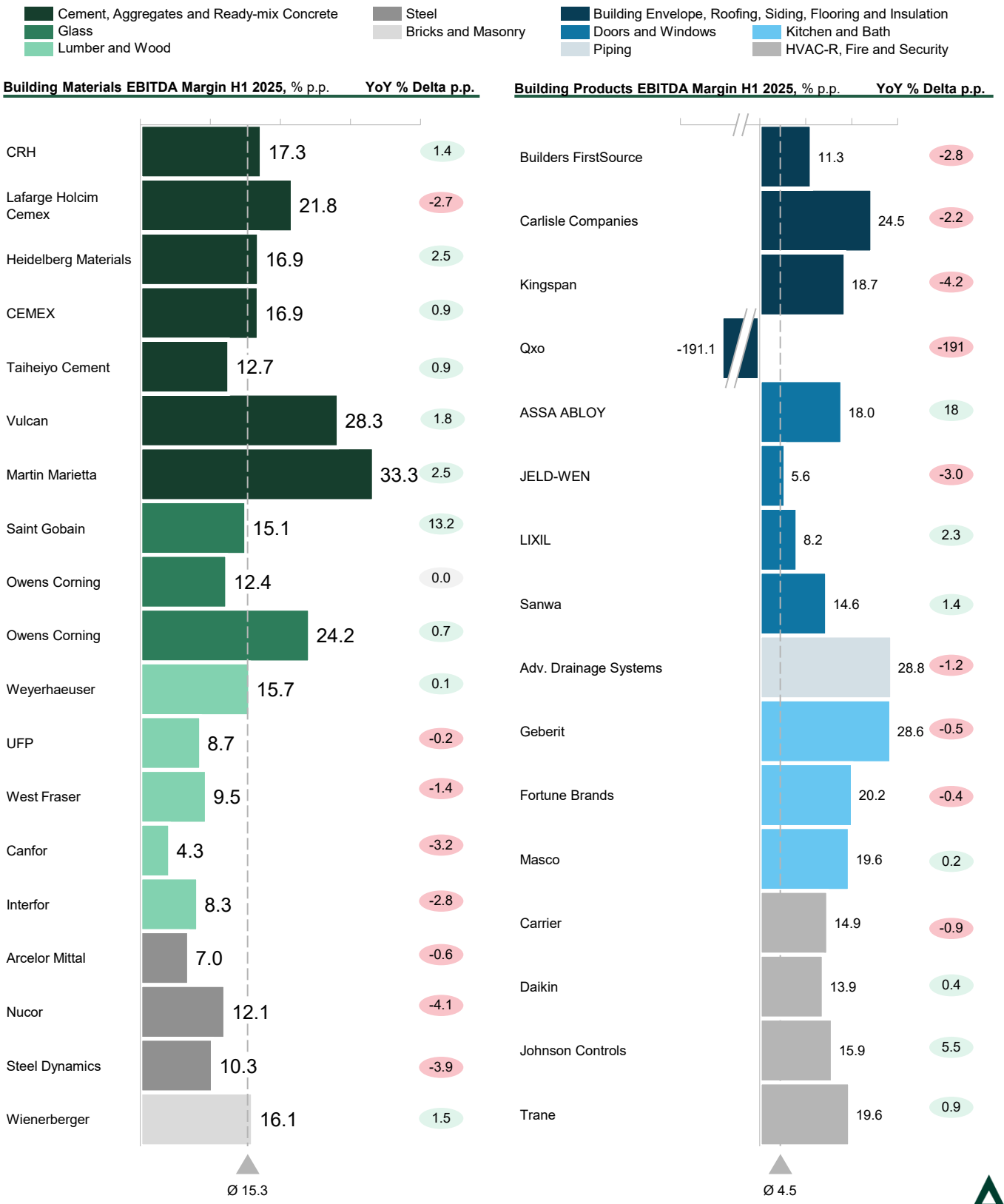
Source: Capital IQ, Applied Value analysis

Apart from the steel segment, SG&A as a percent of sales greatly vary within sub-sectors, while most companies experienced an increase YoY



Source: Capital IQ, Applied Value analysis
1) QXO acquired Beacon Roofing Supply for ~$11B in April 2025, impacting their SG&A/Sales shown above

Building materials companies, except for the cement sub-sector, had worsening margins YoY, while building products experienced mixed results



Source: Capital IQ, Applied Value analysis

Appendix

Appendix #1: Applied Value Q3-2025 in Review

APPLIED VALUE

APPLIED VALUE CONSULTING Q3 2025 IN REVIEW

48 Unique Projects Delivered

$1B+ Client Financial Impact

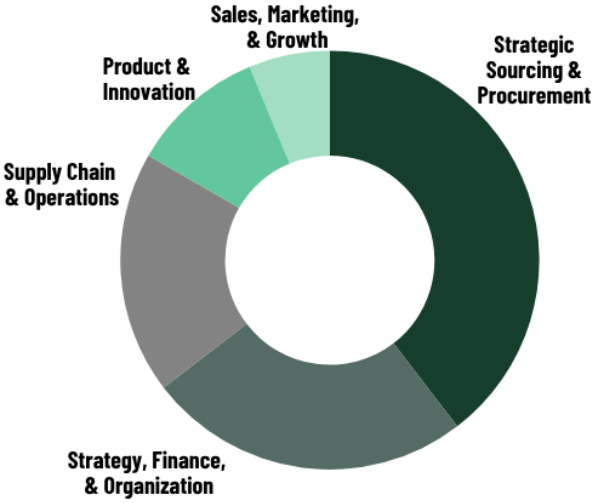
24 New Clients & Retentions

26 Countries Operating In

34% YoY Headcount Growth

20+ Unique CSR Engagements

Functions Supported



Select Q3 Engagements

Complex Transportation Transformation

Optimized $150M+ in NORAM OB truck spend across 58+ sites, delivering 5%+ savings through competitive sourcing, contract and fuel schedule standardization, carrier base rationalization, and digital enablement.

Service Operations Turnaround

Transformed Client's customer service org from a cost center to a profit center by establishing P&L and profitability targets, ID'ing new revenue streams, and optimizing existing services to achieve those targets.

Value Chain Optimization

E2E supply chain and USMCA optimization with SKU-level cost reduction opportunities, identifying $17M+ in cost savings opportunities.

OPEX Strategic Forecasting Support

Created new tool & process to manage $1B+ OpEx budget, optimizing design cycles and forecast tracking, delivering >$80M annual savings .

Exciting News:

Applied Value recently received a growth investment from Trivest Partners, a premier investment firm, aimed to scale our capabilities and expand our offerings to better service clients globally.

Appendix #2: Additional Reports & Contact Information

Report	Frequency	Owner	Email
Steel Report	Quarterly	Eli Kaganov	eli.kaganov@appliedvalue.com
Pulp & Paper	Quarterly	Jack Troller	jack.troller@appliedvalue.com
Non-Ferrous	Quarterly	Grant Burden	grant.burden@appliedvalue.com
Telecom	Semi-Annual	Lambert Rutaganda	lambert.rutaganda@appliedvalue.com
Auto Tier 1	Semi-Annual	Leo Yang	leo.yang@appliedvalue.com
Pharma/Med-Tech	Pending	Philip Nordenström	philip.nordenstrom@appliedvalue.com
Tariff Updates	As Needed	Justin Leopold	justin.leopold@appliedvalue.com
Logistics & Transportation	Quarterly	Chris Lange	chris.lange@appliedvalue.com
AV Wrapped	Quarterly	John Catapano	john.catapano@appliedvalue.com

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Applied Value Group is a premier boutique management consulting, investment, and social impact firm with a global presence. We focus heavily on ROI and tangible bottom-line results for our clients. We service both global conglomerates as well as small and medium-size companies on improving their cost and capital productivity from our offices in New York, Miami, Stockholm, and Shanghai.

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